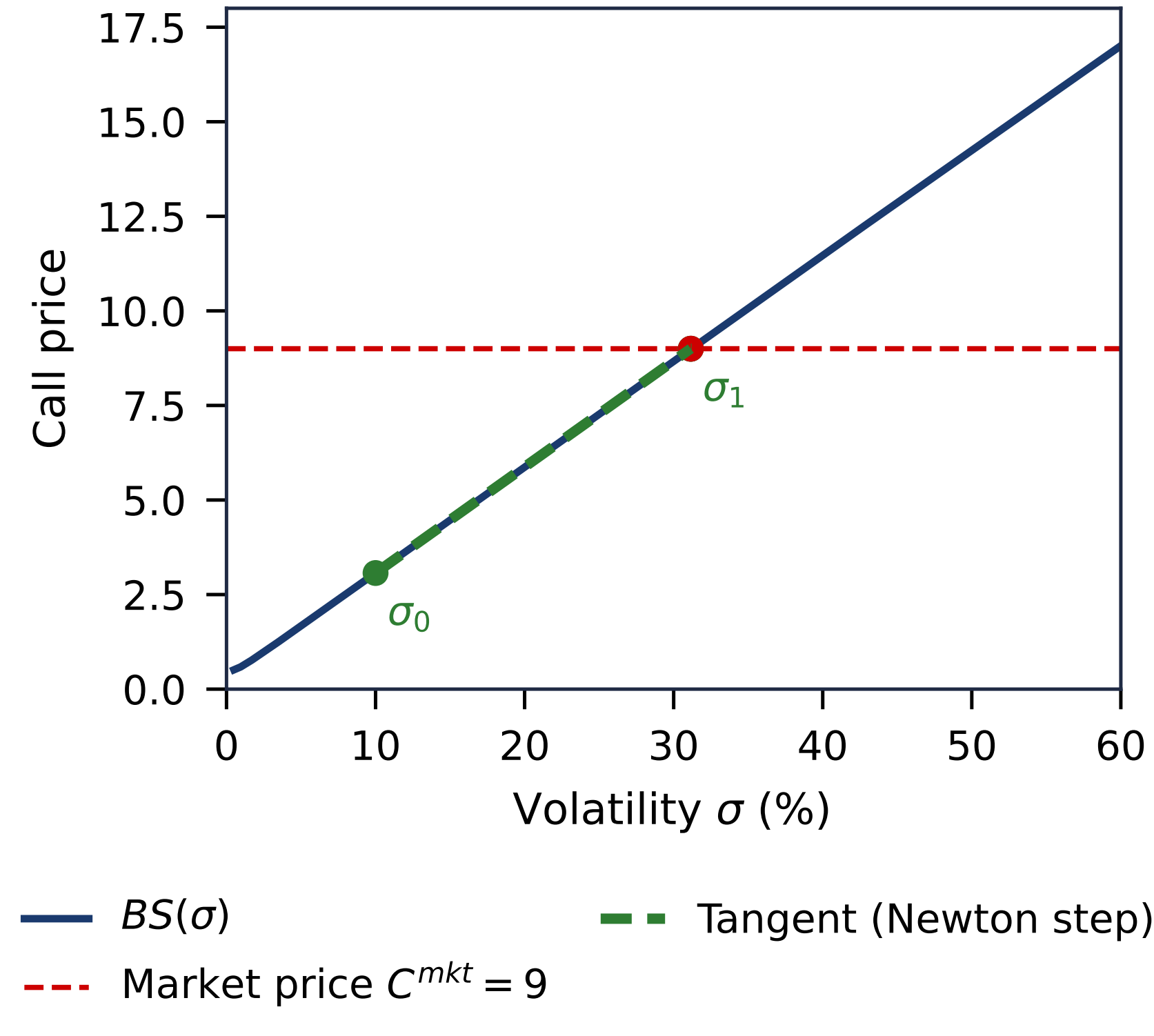
17.5
15.0
12.5
10.0
7.5
5.0
2.5
0.0
Call price
0
10
20
30
40
50
60
Volatility σ (%)
σ1
σ0
BS(σ)
Tangent (Newton step)
Market price C^mkt = 9